The Puck Principle Checklist

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Skate to where the puck is going, not where it has been. Most investors buy where the market is already hot; by then prices are inflated, competition is thick, and the easy money is gone. The real winners buy the fundamentals (national park proximity, low prices, tourism demand, minimal competition) before the town gets flooded with investor money. They close, build systems, and launch before discovery.

The Seven Boxes

Use this checklist to decide whether a rural market is worth exploring. Check at least four of the seven and you've found something worth investigating.

- [ ] **Tourism demand without oversaturation.** Steady visitors (parks, lakes, events) but few great places to stay.
- [ ] **Affordable prices ($150K–$350K).** A low mortgage in a market whose nightly rates can support $70K a year in revenue.
- [ ] **Not too close to big money.** Two to five hours from a major metro means fewer second-home buyers bidding against you.
- [ ] **Year-round or long peak season.** Guests across multiple seasons, not one frantic month.
- [ ] **Short-term-rental friendly.** STRs allowed or even welcomed. Minimal red tape.
- [ ] **Strong Airbnb data signal.** Good revenue and occupancy numbers on AirDNA or similar tools (occupancy is simply the share of nights that actually get booked).
- [ ] **The "Would I Stay Here?" test.** Gut check: would you enjoy a weekend there?

Boxes checked: ______ / 7 (four or more = worth investigating)

The Four Tiers

The tiers aren't a map of where good markets are. They're a clock telling you how much time you have left to act. Markets move up the curve, and every Tier 2 darling was once a Tier 3 secret, Joshua Tree included.

TIER	MARKETS LIKE	PRICE PER UNIT	CASH-ON-CASH RETURNS
Tier 1: Saturated Tourist Cities	Miami, Nashville, New Orleans, coastal California	$800K–$2M+	2–6%
Tier 2: Discovered Rural	Joshua Tree, Sedona, Moab, Gatlinburg, Asheville	$350K–$800K	15–25%
Tier 3: Emerging Rural (the sweet spot)	West Virginia, Arkansas, the Ozarks, lesser-known areas near national parks	$150K–$350K	35–65%+ (top-quartile operators, 2021–24)
Tier 4: Undiscovered	Small towns with tourism infrastructure but minimal STR penetration	$60K–$180K	50–100%+ potential (same 2021–24 caveat) if you nail timing and selection

One time-stamp on the Tier 3 and Tier 4 bands. Those returns are what top-quartile operators achieved in the 2021–24 window, when money was cheaper and the crowd thinner. At today's rates a well-executed first deal more often works out to 15–25% cash-on-cash, which still beats almost everything else available to a beginner, and the book's deliberately conservative Chapter 8 underwrite lands near 25%.

Two more rules for reading the table:

- Underwrite appreciation at 2–3% a year. The 20–40% pop that can come with discovery is a bonus, not the plan.
- The price bands drift. Don't memorize the bands; memorize the relationship between price and revenue. A $170K cabin that grossed $72K its first year is the kind of ratio to hunt for. When a year of bookings covers a big slice of the purchase price, you've found the right tier, whatever the sticker says.

Discovery Signals: Reading the Clock

Tier 3 usually gives you a year or more before major investor money shows up. These signals, drawn from the Saturation Curve stages the tiers pair with, tell you which way the clock is running in your market.

Buy window open (Emerging):

- [ ] Occupancy improving year over year, trending from 45% toward 55%+
- [ ] ADR stable or rising
- [ ] More guests arriving via search; Airbnb and Google are starting to surface the market
- [ ] Smart money moving in, maybe two or three new investor-owned properties a quarter
- [ ] Active listings growing 20%+ a year, meaning the market is accelerating

Window closing (Discovered):

- [ ] The market has "made it": travel blogs, podcasts, social media
- [ ] Heavy investor inflow; institutional money arriving; prices rising fast
- [ ] Supply multiplying fast (Oak Hill's roughly doubled in a single year)

Too late (Saturation near):

- [ ] Major chain hotels breaking ground (Marriott or IHG building means saturation is near)
- [ ] Occupancy stalling or falling below 50%; ADR dropping to hold bookings; "value" listings proliferating

Why Early Wins

Buy before the crowd, and when other investors finally notice the town, you're six months of revenue ahead. You own the top listings. Your reviews are solid. Your systems are dialed. The newcomers never stop playing catch-up. That head start compounds, because booking platforms reward track records: reviews attract bookings, bookings feed the algorithm, and the algorithm sends more bookings. In a small market, whoever gets there first ends up owning the game.

Famous markets pay you in bragging rights. Boring markets pay you in cash.